



**LIBERTY KENYA HOLDINGS
LIMITED**

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P.O. Box 30390 - 00100, NAIROBI KENYA**

26th August 2014

The Chief Executive
Nairobi Securities Exchange Limited
55 Westlands Road
Nairobi



Dear Sir,

RE: Liberty Kenya Holdings Ltd Unaudited Half Year
Financial Statements (30 June 2014)

In accordance with the provisions of the Capital markets (Securities – Public Offers, Listing and Disclosure) Regulations 2002, the Board of Directors of Liberty Kenya Holdings Limited is pleased to release to you the unaudited financial statements for the half year ended 30 June 2014. These results will be published in the daily newspapers on Wednesday 27 August 2014.

Kindly acknowledge receipt on the duplicate of this letter. Thank you for your continued support.

Yours faithfully,
For: Liberty Kenya Holdings Limited

Sign.....

Steve Lugalila
Regional Director of Finance

**THE BOARD OF DIRECTORS OF LIBERTY KENYA HOLDINGS LIMITED IS PLEASED TO ANNOUNCE
THE UNAUDITED RESULTS OF THE GROUP FOR THE SIX MONTHS TO 30 JUNE 2014**

Group Statement of Financial Position

	30 June 2014	30 June 2013	31 December 2013
	Shs'000	Shs'000	Shs'000
Capital and reserves			
Ordinary share capital	515,270	515,270	515,270
Share premium	1,185,969	1,701,239	1,185,969
Revenue and other reserves	3,271,635	3,507,260	2,873,612
Proposed dividend	515,270	-	515,270
Equity attributable to owners of parent	5,488,144	5,723,769	5,090,121
Non-controlling interest	389,250	333,824	374,761
Total equity	5,877,394	6,057,593	5,464,882
REPRESENTED BY:			
Assets			
Property and equipment	1,078,683	1,067,138	1,084,901
Intangible assets	43,502	49,331	51,976
Goodwill	1,254,995	1,254,995	1,254,995
Investment property	785,768	678,700	842,200
Investment in associates	-	-	70,041
Financial investments	18,485,512	14,172,388	15,949,070
Receivable arising from reinsurance	405,456	248,140	430,166
Receivable arising from direct insurance	644,243	670,931	775,189
Reinsurers' share of insurance liabilities	2,673,517	3,085,695	3,822,104
Deferred acquisition costs	153,077	108,406	123,273
Other receivables	535,284	584,387	401,873
Deferred income tax	68,238	42,293	65,037
Current income tax	40,915	52,312	59,376
Cash and cash equivalents	5,666,627	7,200,358	6,452,983
Total assets	31,635,816	29,215,173	31,452,190
Liabilities			
Insurance contract liabilities	9,525,421	8,909,658	10,320,927
Deposit administration liabilities	11,613,061	10,149,490	11,103,757
Unearned premium reserve	2,080,529	2,885,874	2,664,554
Creditors arising from direct insurance	31,124	37,659	34,616
Creditors arising from reinsurance	263,174	346,881	515,205
Deferred acquisition income	81,997	91,878	76,324
Other liabilities	1,087,023	722,532	913,200
Deferred income tax	352,214	-	352,214
Current income tax	23,880	13,608	6,421
Total liabilities	25,858,433	23,157,580	25,887,308
Net assets	5,877,394	6,057,593	5,464,882

Group Income Statement

	30 June 2014	30 June 2013	31 December 2013
Income			
Gross earned premium revenue	3,808,215	3,540,840	7,397,982
Less: Outward reinsurance	(1,771,451)	(1,650,951)	(3,330,854)
Net insurance premium revenue	2,126,765	1,895,889	4,067,128
Commissions earned	1,621,487	1,317,888	3,311,482
Investment income	326,067	333,572	657,402
Administration fees	1,233,956	975,249	2,629,519
Other income	8,418	2,705	15,897
Total income	3,748,252	3,213,777	7,378,610
Claims and policyholder benefits payable	(1,141,461)	(2,270,917)	(6,088,006)
Change in insurance contract liabilities	(525,641)	(152,084)	(490,432)
Amounts recoverable from reinsurers	201,340	1,166,464	5,501,597
Net insurance benefits and claims	(1,465,762)	(1,256,537)	(3,076,841)
Total expenses and commissions	(1,719,768)	(1,475,700)	(2,995,520)
Commissions payable	(485,059)	(418,445)	(833,885)
Finance costs	-	(14,016)	(25,512)
Other operating expenses	(1,234,707)	(1,043,239)	(2,136,123)
Result of operating activities	562,724	481,540	1,308,249
Earnings from associates	-	-	(7,387)
Profit before income tax	562,724	481,540	1,298,862
Income tax expense	(101,750)	(103,264)	(192,942)
Profit for the period	460,974	378,276	1,105,920
Attributable to:			
Owners of the parent	428,863	354,634	1,024,907
Non-controlling interest	34,111	23,642	81,013
	460,974	378,276	1,105,920
Basic and diluted earnings per share (Shs)	0.89	0.73	2.15

Abridged Group Statement of Cashflows

	30 June 2014	30 June 2013	31 December 2013
	Shs' 000	Shs' 000	Shs' 000
Cash generated from operations	1,798,877	412,388	1,011,348
Net interest received	1,000,141	790,826	1,869,917
Income tax paid	(69,032)	(233,735)	(378,310)
Net cash generated from operating activities	2,729,886	969,479	2,504,955
Cashflows from/(used in) investing activities	(3,508,630)	1,248,100	(1,376,365)
Cashflows used in financing activities	-	(500,185)	(707,076)
Currency translation differences	(7,712)	4,625	(2,204)
Net (decrease) increase in cash equivalents	(3,516,342)	752,540	(2,085,665)
Cash and cash equivalents at 1 January	6,452,983	5,478,339	6,033,693
Cash and cash equivalents at 30 June	5,666,627	7,200,358	6,452,983

Group Statement of Comprehensive Income

	30 June 2014	30 June 2013	31 December 2013
	Shs'000	Shs'000	Shs'000
Profit for the period	460,974	378,276	1,105,920
Other comprehensive income for the period	(26,569)	278,116	32,011
Items that can be reclassified into profit or loss:			
Foreign currency	(26,569)	278,116	5,229
Gain on fair valuation of available-for-sale investments	-	(31,463)	5,229
Items that cannot be reclassified into profit or loss:			
Recognition of deferred income tax on revaluation	-	-	26,782
Gain on revaluation of land and building	-	-	(11,478)
	-	-	38,260
Total comprehensive income for the period	434,404	656,392	1,137,931
Total comprehensive income attributable to:			
Owners of parent	400,293	623,079	1,056,918
Non-controlling interest	34,111	32,413	81,013
Total comprehensive income for the period	434,404	656,392	1,137,931

Abridged Group Statement of Changes in Equity

	Share Capital	Share Premium	Revenue and other reserves	Proposed dividend	Non-controlling interest	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
As at 1 January 2014	515,270	1,185,969	2,873,612	515,270	374,761	5,464,882
Transfer to/(from) Statutory reserves	-	-	11,548	-	7,699	19,247
Net profit for the period	-	-	428,863	-	34,111	460,974
Other comprehensive income	-	-	(11,907)	-	(14,662)	(26,569)
Dividend paid to non-controlling interests	-	-	(28,481)	-	(12,658)	(41,139)
Dividend paid to controlling interests	-	-	-	-	-	-
As at 30 June 2014	515,270	1,185,969	3,271,635	515,270	389,250	5,877,394

Financial Highlights

- Gross earned premiums grew year on year by 10%.
- Investment income up by 27%. The growth in returns was partly due to unrealized gains from equity investments recognized in investment returns due to an accounting policy change that was effected in December 2013.
- Claims incurred are up by 17%. This is in line with our expectations.
- Overall operating expenses increased by 18%. The increase was mainly driven by expenses relating to new branches that were opened during the year and administrative costs relating to the implementation of new systems. The Group is already seeing significant benefits from these initiatives.
- Profit before tax increased by 17% mainly arising from an improved top line, good investment returns and generally well controlled costs.
- Total Assets increased by 9% from June 2013.

Dividends

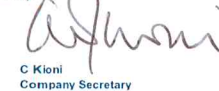
- The Board of Directors do not recommend payment of an interim dividend.

Looking ahead

The performance of the Group has remained reassuringly sound across all business activities. The two operating companies, Heritage Insurance Company Kenya Limited and CIC Life Assurance Company Limited, continue to make investments in people, systems and products. This will drive improvements in service delivery and performance. Heritage, in particular, has just completed the implementation of a new Policy Administration System which will enable the Company to provide improved and refined services to its clients.

The above financial statements were approved by the Board of Directors on 26th August 2014 and signed on its behalf by:





S Mboya
Chairman

M L du Toit
Managing Director

G R May
Director

C Kioni
Company Secretary